

VERBATIM TRANSCRIPT OF THE FOURTH MEETING
BETWEEN PRIME MINISTER TRUDEAU AND
PREMIER CHOU EN-LAI, OCTOBER 13, 1973

CONFIDENTIAL
CANADIAN EYES ONLY

TRUDEAU: (Pointing to picture on wall) Is this where the Long March started?

CHOU: No. The Long March started at Jui-chin, but this is Hsian. It was after the Hsian Incident in 1936. Some people would say why did you let Chiang Kai-shek go that time? This was according to the development of history which takes gradual progress. Otherwise, perhaps the Civil War would have been extended. After that, there was the Japanese War of Resistance. The course of history leads to a final result. It develops according to the law of social development. I will not dwell on this. I welcome Prime Minister Trudeau to raise questions. I have read the reports of our officials, and the questions they have been discussing seem to have been answered.

TRUDEAU: I have also received excellent reports from the officials on our side. Reports have come out of all committees we have established. I note in particular that we have concluded a commercial agreement and that other committees have discussed the scientific and technological exchanges which came out of Mme Sauvé's visit a few weeks ago. In the area of medical exchanges, Dr. Leclair reports that an entente has been established between the two sides which is very satisfying to us. We are very interested in this, and I want to offer my thanks. Through this Understanding, Canadian doctors will have access to Chinese medical science and will be able to make studies of your medical practices, particularly in the area of acupuncture.

CHOU: We will be learning from one another.

TRUDEAU: It is in this spirit that we have approached all problems which concern us mutually. In the cultural field, exchanges have been agreed upon in such areas as sports, journalists, travellers, and so on. We hope that these exchanges will continue between the two countries as our people are very happy to have these exchanges.

CHOU: Who looked after cultural affairs for your side?

TRUDEAU: Mr. Desrochers and Mr. O'Connell. There is total satisfaction with the perfect entente in the cultural area.

CHOU: It is not easy to conclude such agreements in so short a time, but we were able to because of our mutual friendship.

TRUDEAU: In the cultural area, there were some smaller problems which we have solved, and we have also concluded a Consular Understanding. We express our thanks for the Understandings which have been reached, which will make the interchange of our peoples more convenient. Of particular importance for the human aspect is the Understanding on reunification of families.

CHOU: You are right. These Understandings will permit exchanges and return visits on the part of those interested.

TRUDEAU: This will be to the satisfaction of all, I think. There has been an Understanding on visa procedures, and I note there has been an agreement which will permit the opening of a Chinese Consulate-General in Vancouver, which is the city my wife comes from. Knowing that we can meet your Ambassador at the Chinese Embassy in Ottawa, we are happy that we shall also be able to meet him in the near future at your consulate-general in Vancouver.

CHOU: It is your most important port on the Pacific Coast. Do your boats still cross the Pacific?

TRUDEAU: CP Air still exists. It carries travellers in its airplanes.

CHOU: Do your boats still make trips?

TRUDEAU: They go from Canada to England, and some go for small voyages and excursions in the Caribbean. There are no more trans-Pacific ships.

CHOU: It's a shame. In the past, your ships went past Vancouver? I took your ship from Kwangchow by the name of a certain Empress Canton toward Hong Kong. I was not a cabin passenger. It left a deep impression.

TRUDEAU: Are the President lines still going? They went from Canton to Hong Kong and Australia. Like you, I have been on the Empress. I went on the President line from Shanghai to Yokohama in 1949. You weren't in a cabin. Neither was I. I was in third class with many persons.

CHOU: We had the same experience, you in steerage on the President and I in steerage on the Empress.

TRUDEAU: We must thank our officials who have done such splendid work and left us few difficulties to discuss. We can now look to the future which promises to be a profitable one for our relations. Let

TRUDEAU (CONT.): me repeat what I said to you privately: we would be honoured if you could find some time and find an occasion to visit Canada at some future point so that we may continue the development of our relations and so that we may have an occasion to show our hospitality and show our gratitude for yours. I know there will be other occasions for an exchange of views between us. In our discussion riding in from the airport we had an exchange on the Conference on Human Settlements to be held in Vancouver and you indicated great interest. We can learn from your experience and you from ours. Yesterday, your Foreign Minister and I discussed your techniques for planning cities and limiting growth. In this we can learn from you. Should your government decide to take its place in ICAO, I remind you that the head office of that organization is in Montreal, the city where I was born. If you choose to attend, I would have the pleasure of knowing you are in the third of Canada's important cities. Ottawa and Vancouver are the others. Is anyone here from Toronto?

CHOU: Is Montreal close to the central part of your country?

TRUDEAU: It is 200 kilometres from Ottawa.

CHOU: What is the distance from your East to your West coast?
3,000 miles?

TRUDEAU: 3,000 miles, 5,000 kilometres.

CHOU: Thank you for your remarks, Prime Minister. We both might learn from each other. Last time I also mentioned that Canada was the first country in North America that granted recognition in 1970. It pushed a series of West European countries into taking a similar step. Your attitude toward voting at the United Nations in 1971 also brought about similar results. And I would like to add one point, that since the establishment of diplomatic relations, the members of our Embassy have not only become friends of Canada, but they are busy because the American people are able to approach our Embassy in Ottawa. For example, those who would like to visit China all go to the Embassy in Canada to get their visas. It seems some people wouldn't have to go to any problem to cross the border.

TRUDEAU: The frontier is open. People are able to go to Canada if they are admitted legally to the United States.

CHOU: The telephone lines are convenient too. Is Ottawa close to the New York border?

TRUDEAU: About 60 miles or 100 kilometres.

CHOU: That is even nearer than from Peking to Tientsin. That is why telephone lines have been so busy and there have been so many people visiting our Embassy. We would like to thank you for offering us the convenience.

TRUDEAU: I am not sure if your Ambassador is grateful for this work.

CHOU: During his term I think things have been getting better. However, it was harder when Ambassador Huang Hua was there, and next, Yao Kuang. Now things are better just because we have a Liaison Office in Washington. Our Embassy also serves as a very good place for Canadian matters. I don't know why, but it is said that when people watch television in the Embassy in Canada, the American television programmes are clearer in Canada than in the United States.

TRUDEAU: There is less pollution. But now you understand the danger of our cultural domination by the United States if the American media can affect even your ambassador. Thus we need cultural agreements with China.

CHOU: Speaking of agreements, we can say something of trade. On the trade question we must study how to keep increasing its value, and in particular how we will be able to increase our exports to Canada. Our exports should, of course, meet your needs. We should not depend merely on the exhibition at the Canton Fair. This is a lazy way to deal with these matters. How is it that Taiwan commodities still find abundant markets in your country? It is because their light industry products can find the markets. However, we can make such goods, too. On Taiwan, there are people who make special studies of the varieties and patterns of your market, and so they produce a variety of commodities to meet those demands. The quality of their products is good and, in addition, your citizens readily buy (Taiwanese goods) because they are used to buying them. We would not conceal our own shortcomings. I have read two letters from Canadian buyers. The first was from a buyer of our coloured shirts. He complained that they had faded because the dye used most probably was not so good, and that when they were washed with white shirts, the white ones were stained. We apologized to him. It is a fact that we have exported such goods. This buyer has been good to us, but he says if we continue to supply this kind of merchandise, he will cease to buy from us. Another buyer who is friendly to us had a still better attitude. He advised us to change our dye. Another letter was from a buyer of cotton underwear. He complained that each time the underwear was washed, the sleeves got longer. I myself can provide proof [fingering the sleeve of his underwear under his suit], so I had it chopped off, and I have warned the textile manufacturers about this. In Shanghai, they have made some progress in correcting this process.

TRUDEAU: Tell him to cut his arms.

CHOU: There are flaws in this kind. They frequently get longer. Can we settle the problem of technique? Certainly we can. We can solve it completely. Our textile industry has a one-hundred year history. At first, we imported equipment, especially from Britain. If you visit the factories in Shanghai, you can still see some nineteenth century British machinery and also some more recent machinery from Japan. The Shanghai people are settling this technical problem. In Tientsin and Tsingtao, there was also very early development, but Peking started late, only after the revolution, to develop its textile industry. Actually, things are very simple. We shall send people to Shanghai to learn, and Shanghai will send veteran workers so that the whole country will learn to attain the same standard. There are strong points, as well, in our textile industry; for example, many of our traditional commodities have been well received, including brocades, silks, embroidery, and woollen goods. We long ago mechanized the making of brocade and silk, and embroidery is done partly by hand, but is semi-mechanized. There are also handicrafts and pictures woven from knitting wool.

Why is there still such a problem? There are two important reasons: our own market consumes great quantities of commodities. Of course, the volume of your trade is very great - amounting to over 40 billion US dollars. Ours is incomparable with yours, but your domestic market can hardly compare with ours. In our country, we have a market for over 700,000,000 people. No country could compare, though our living standard is fairly low. But the people here are quite content just to meet domestic needs and are not interested in improving our commodities. They are satisfied if our people buy our own things, and they are satisfied with the volumes sold. They are satisfied with the twice-annual Canton Fair and think it is enough, although foreign trade does not play a major role in our economy. You must study special needs to do business with foreign countries. In Ottawa, we have a Commercial Counsellor. Now we have decided to have a joint committee set up, but it is not enough just to hold meetings. We must send people to your country to decide what commodities your country needs. If our exports to Canada are even worse than those of Taiwan, then how can we expect to liberate Taiwan politically? We could only do so by force. But, even if we should do so, we should still have to learn from them with regard to commodities.

The people from the Ministry of Foreign Trade have argued with me, saying that the Taiwanese have foreign investments, Japan being their number one supplier, the United States number two, and there are others. Moreover, they have to import raw materials such as cotton fabrics, synthetic fibres, nylon and dyestuffs. They also import textile machinery from Japan. But raw materials are also available in China, and we are able to turn out the machinery ourselves. In Taiwan, they get these things from foreign countries; we supply ourselves. We developed our textile industry earlier than Hong Kong developed its, and still earlier than Taiwan. If we are

CHOU (CONT.)

backward in terms of the varieties we produce, then we have failed to show the superiority of our social system. I shall ask the Vice-Minister of Foreign Trade whether I am right or not. Taiwan gets foreign capital and it has a free port, Chilung, which is just like Hong Kong and Singapore. Its goods are tax-free, but this does not apply to the Taiwan market. Moreover, the bureaucrats on Taiwan who came from the mainland have a share in these industries. The majority of the profit goes back to foreign countries, but a share also goes to the compadors. For this reason, they have promoted a high level of foreign trade. The foreign capitalists are attracted by the cheap labour. Singapore has a higher living standard than Hong Kong, and Hong Kong than Taiwan. Japan has an even higher living standard than Singapore; so many foreign capitalists would like to go to Taiwan to exploit the cheap labour. Despite the high value of Taiwan's foreign trade, this does not raise the people's living standards.

Thus, if we cannot develop our trade because we cannot supply you with the commodities needed by your people, it is we who are to be blamed, not you, for the unfavourable balance of trade. If the quantities, qualities, varieties, packaging of commodities could meet your need, and if the prices were lower than those of Taiwan and you still were to buy from Taiwan, then we would have good reason to make representations. Do you agree, Mr. Burns?

BURNS: We have an open competitive market. If the conditions you describe prevailed, then we should buy from China.

CHOU: I would like to ask officials of the Ministry of Foreign Trade and the Ambassador and Councillor in Canada to "go shopping" [said in English] and study the markets. I will give them three months to check on prices and other aspects. How can we handle foreign trade affairs well without open on-the-spot investigation?

When the Soviet Union was founded, they did not know how to do business. Lenin instructed them to learn from others. But 24 years after the founding of the People's Republic of China, our business practices are still poor. Our officials don't care whether you buy our goods. They should look at the problem in a new light, or people will ask where is the superiority of the socialist system.

In recent days we have criticized socialist imperialism; we should also criticize ourselves.

TRUDEAU: On our visit this morning to the Forbidden City, we saw a place outside one of the gates at which bad civil servants were decapitated.

CHOU: We wouldn't like to kill people, but we shall severely criticize people who can't carry out these things. We stand for the practice of a free airing of views through posters and great debates. We are now revising our constitution and we should include this.

CHOU (CONT.)

We should avoid bureaucratism. You ask how we should combat bureaucratism? We shall carry out criticism by the masses.

TRUDEAU: Exports from China to Canada doubled between 1971 and 1972, and in the first six months of 1973 they have increased. Your officials in Canada must be working well with ours to follow the lines suggested by Premier Chou.

CHOU: I would like to ask a favour from you. I am going to ask the Vice-Minister of Foreign Trade and the officials of the Ministry of Foreign Affairs, including the Ambassador, to convey what I have said to all members of the Ministries of Foreign Affairs and Foreign Trade to have discussions to see if I am right or they are right. I shall invoke the masses to settle this question. They may say I have exposed our weaknesses to the Canadian Prime Minister. They might stick a label on me if I am wrong. But, in keeping with Chairman Mao's thinking, we should send people to Shanghai to learn from Shanghai where people are engaged in the manufacture of textiles.

Which of you has been to Peking University? The remains of Edgar Snow are to be buried in Peking University. The reason I mention this is that in his talk with Chairman Mao, the Chairman mentioned the point that we should criticize our own shortcomings. Snow's article was carried in the issue of the American magazine, Life, of April 30, 1971, but it was not the full text. He did not cover the whole conversation.

Anyone who came to the People's Republic of China in 1970 and went to the Great Hall of the People would have seen quotations from Chairman Mao on the walls. Chairman Mao detests such formalistic displays and we ordered them to get rid of them and take them away. He asked me to tell them to take these things away. Three or four times he made this request through me, but they simply wouldn't listen. The Chairman and I urged them to take them down. We finally managed to convince them. I found a good way to talk to them. I said: "Since you have so many quotations from Chairman Mao on the walls, are you able to recite them all?" Almost no one was able. I said: "If, although you are passing the place every day, you are unable to recite them, what is the point?" They took them down. They had done it out of goodwill. A handful of people would have done it out of bad intentions to be formalistic. They didn't want to follow Chairman Mao's teachings. On the contrary, certain persons would have liked to take the opportunity to put up their own words, for example, Lin Biao who carried out acts of sabotage which were later discovered.

Anyway, in December, 1970, Chairman Mao touched on this with Edgar Snow. Nancy Tang, here, interpreted. Miss Tang has served as interpreter for many years, and she is able to follow Chairman Mao's thinking better than we. She wouldn't admit it, but I think she is wrong about that. This is the reason why we elected her an alternate member of the Central Committee, to remind us old

CHOU (CONT.)

people to carry out Chairman Mao's teachings, and she could carry them out among the people. This will convince people that the young are better than the old, although they are young. Although the hair of Chou, the Vice-Minister of Foreign Trade, has already turned grey, what I say to him carries no more weight than what the young say. I can't stay with him all the time. I said something to him once. When I expressed my opinion, he agreed. Later, he couldn't carry it out. I told him I can't stay with him all the time. If we ask the masses to carry out Chairman Mao's thinking, that is following the mass line.

Although your visit has acquainted you better with us, you should see our shortcomings as well as our strong points.

As for the point you raised about the trip to Canada, it is very difficult for me to give an answer now. I am getting older and older, and less and less strong, and my burdens are getting harder and harder. If I promised you very casually that I would come, I am afraid I would not be able to honour the promise, although I am obliged since you came. Thus I suggest that, as a next best step, our Ministers should exchange visits. There have already been four Ministers who have come from Ottawa to China, the Minister of Trade, the Foreign Minister, the Minister of Energy, Mines and Resources, and the Minister of Science.

Does the word 'Minister' have a feminine gender? There was an all-male society in the past. We can still find vestiges of history in language, especially in titles.

TRUDEAU: This is particularly visible in French when we say 'Madame le Ministre'.

CHOU: (laughing) There are bound to be changes in language. You mentioned that the headquarters of ICAO are in Montreal. The CAAC has invited the Chairman (sic, Secretary-General) to visit China. Is he a Canadian?

TRUDEAU: He was. They change.

CHOU: Since you haven't decided where to set up your Consulate-General, we will probably be the first to establish a Consulate-General in the other's country. When do you expect your officials to come to the Embassy in Peking to arrange for trips on the part of Chinese to visit their family members in Canada?

ANDREW: They are available to come on demand from Hong Kong immediately if necessary.

CHOU: How would you call foreign nationals who have accepted Canadian citizenship? For example, do you speak of British-Canadians, Ukrainian-Canadians?

TRUDEAU: That depends on the context. We prefer just to call them Canadians. We encourage Canadians of all origins to preserve some of their culture, customs and languages. We believe that this increases the value of Canadian society. We refer to them as Canadians of Chinese origin, not as Chinese-Canadians, and we encourage them to keep their cultural distinctness as it is a wealth for Canada to have cultural variety. These people can make very important contributions to our society if they have kept their cultural distinctiveness, and adapted to our society. We must make efforts to maintain our cultural identity (as one which is) distinct from that of the United States which has a melting-pot approach. In Canada we enunciated three or four years ago important policies on bilingualism and multi-culturalism as against the melting pot.

CHOU: Yes. Bilingualism, but not dual nationality. Only in this way will things be clear. Because the question arises as to how we should accord these people who have already accepted Canadian citizenship and (yet) always like to say they are of Chinese origin. How do you accord them?

TRUDEAU: Since they have already accepted Canadian citizenship, we should call them Canadians.

CHOU: Good. It is not like this in the United States. There are many ethnic Chinese in the United States as well who were not born in the United States but who were born or brought up in Taiwan or on the mainland. Some of them went to study in the United States and accepted American citizenship. They are still called Chinese Americans.

TRUDEAU: Who calls them Chinese Americans?

CHOU: They call themselves Chinese-Americans. A well-known doctor, Yang Cheng-ming; a scientist, Li Chung-ta; Wu Chien-sheng, a woman doctor who is now in China visiting; and Yuan Chang-liao, a grandson of Yuan Shih-kai said they call themselves Chinese-Americans.

TRUDEAU: If they call themselves Chinese Americans, we must accept them as Chinese Americans.

CHOU: I mentioned this in my report to the Tenth Congress. What title are we to give to them. (I said that) generally speaking, those residing in foreign countries should be nationals of those countries.

TRUDEAU: Perhaps their children will call themselves Americans.

CHOU: They are very sensitive about this point in Singapore and Malaysia. You went to Singapore the year before last.

TRUDEAU: Yes. For the Commonwealth Heads of Government Conference.

CHOU: For instance, Lee Kuan-yew is in this position, as about 90% of the people of Singapore are of Chinese descent. If they wish, they may call themselves Singaporeans.

TRUDEAU: I was interested at last night's ballet, The Red Detachment of Women, to note that its author had created one person who was called "an Overseas Chinese". Your own people use this expression when they write for art.

CHOU: That person does not have foreign citizenship. In this sense, it is just. The term "overseas Chinese" has been used for several hundred years, but we are reluctant to use this old term. It is also a problem as the Taiwanese people like to create troubles. Because we are not for dual nationality, we maintain these people should accept the citizenship of the foreign country and give up their Chinese citizenship.

TRUDEAU: This is also our position. Our law does not accept dual citizenship. Usually they should be the citizen of one country or the other. We say we are one nation with two languages and many national origins. This is perhaps a little like your own theory of minority nationalities within a single nation.

CHOU: But the Taiwanese people are for dual citizenship. Even those who have already accepted foreign citizenship they call them "Overseas Chinese" and collect money from them. The population of Taiwan is sixteen million, but they claim that the number of "Overseas Chinese" amounts to twenty million, so the population of their Overseas Chinese is greater than the population of Taiwan itself. This is sheer nonsense. This is one thing I would like to discuss with you in private.

(Open meeting adjourned at 4:20 p.m. after having commenced at 2:30, and Prime Minister Trudeau and Premier Chou En-lai met briefly with their officials before Prime Minister Trudeau's meeting with Chairman Mao Tse-tung.)